

Primetrade.ai (Assignment)

Bitcoin Market Sentiment × Trader Performance Analysis

Dataset Overview

Dataset	Records	Date Range	Key Columns
Historical Trader Data	211,224 trades	Jan 2024 – May 2025	Account, Coin, Execution Price, Size USD, Direction, Closed PnL
Fear & Greed Index	2,644 daily values	Feb 2018 – May 2025	Date, Value (0–100), Classification

- 32 unique trader accounts on Hyperliquid
- 104,408 closed trades (non-zero PnL)
- Top coins traded: HYPE, BTC, @107, ETH, SOL, FARTCOIN, MELANIA
- Datasets were merged on date (IST timestamp parsed to YYYY-MM-DD)

Key Summary Statistics

Metric	Value
Total Closed PnL	\$10,296,959
Overall Win Rate	83.2%
Average PnL per Trade	\$98.62
Best Month	Dec 2024 — \$3,005,071
Worst Month	Aug 2024 — -\$106,817
Loss Months	2 (Jan 2024, Aug 2024)

Trader Performance by Market Sentiment

Sentiment	Total PnL	Avg PnL/Trade	Win Rate	Trade Count	Avg Trade Size
Extreme Fear	\$739,110	\$71.03	76.2%	10,406	\$5,350
Fear	\$3,357,155	\$112.63	87.3%	29,808	\$7,816
Neutral	\$1,292,921	\$71.20	82.4%	18,159	\$4,783
Greed	\$2,150,129	\$85.40	76.9%	25,176	\$5,737
Extreme Greed	\$2,715,171	\$130.21	89.2%	20,853	\$3,112

Insight 1:

- Fear is the most active and lucrative regime Fear generated the highest total volume (\$483M) and second-highest PnL (\$3.36M)
- 29,808 trades placed in Fear conditions — nearly 3x Extreme Fear
- Traders committed larger position sizes (\$7,816 avg) suggesting high conviction

Insight 2:

- Extreme Greed delivers the best per-trade performance
- Highest average PnL per trade: \$130.21
- Highest win rate: 89.2%
- Traders placed smaller but more precise bets during euphoric markets

Insight 3:

- Extreme Fear showed caution, not opportunity
- Lowest win rate (76.2%) and lowest average PnL (\$71)
- Traders were more cautious (fewer trades, moderate size)
- Still profitable overall — but not the standout regime

Long/Short Positioning vs. Sentiment

Sentiment	Long %	Short %	Interpretation
Extreme Fear	68.8%	31.2%	Strong buy-the-dip behavior
Fear	62.1%	37.9%	Net long bias
Neutral	61.7%	38.3%	Slight long bias
Greed	42.3%	57.7%	Net short — fading the rally
Extreme Greed	45.1%	54.9%	Slight short bias

Insight 4: Contrarian positioning pattern confirmed

- Traders systematically go long when the market is fearful and short when greedy
- This is textbook contrarian strategy — and it worked:
 - Long-heavy Fear regime: 87.3% win rate
 - Short-heavy Greed regime: 76.9% win rate (still profitable but less so)

Monthly PnL Trend

Month	PnL	Notes
Dec 2023	\$2,016	Early activity
Jan 2024	-\$13,086	Loss month
Feb–Jul 2024	\$330K cumulative	Steady growth
Aug 2024	-\$106,817	Worst month (market correction)
Sep–Nov 2024	\$268K	Recovery
Dec 2024	\$3,005,071	Massive spike
Jan–Apr 2025	\$6.6M	Sustained bull run profits

Insight 5: Dec 2024 was a defining inflection point

- Dec 2024 single-handedly contributed 29% of all-time PnL
- Dominated by Extreme Greed sentiment (100% of trading days)
- Driven heavily by HYPE token + BTC post-election rally
- Traders' short bias in Extreme Greed allowed them to capture the eventual pullback

Top Traders by PnL

Rank	Account (short)	Total PnL	Share of Total
1	0xb1231a...	\$2,143,383	20.8%
2	0x083384...	\$1,600,230	15.5%
3	0xbaaaf6...	\$940,164	9.1%
4	0x513b86...	\$840,423	8.2%
5	0xbee170...	\$836,081	8.1%

- **Top 2 accounts = 36.3% of all PnL (\$3.74M)**
- **Top 5 accounts = 61.7% of all PnL (\$6.36M)**
- High concentration suggests a small group of skilled or well-capitalized traders dominate returns

Top Traded Coins by Sentiment Regime

Sentiment	Rank 1	Rank 2	Rank 3
Fear	BTC (\$301M)	HYPE (\$63M)	SOL (\$52M)
Greed	BTC (\$164M)	ETH (\$37M)	SOL (\$23M)
Neutral	BTC (\$98M)	HYPE (\$28M)	ETH (\$18M)
Extreme Fear	BTC (\$37M)	HYPE (\$29M)	SOL (\$26M)
Extreme Greed	BTC (\$44M)	@107 (\$20M)	ETH (\$16M)

- BTC dominates volume across all regimes
- HYPE and SOL are prominent in Fear periods
- @107 (a Hyperliquid-native token) appeared heavily during Extreme Greed

Strategy Recommendations

For traders:

1. **Lean long during Fear, short during Greed** The data confirms that contrarian positioning is consistently profitable. During Fear/Extreme Fear periods, a long bias with larger position sizes (>\$7K avg) outperformed. During Greed, smaller short positions captured the mean-reversion.
2. **Scale up in Fear — but be patient** Fear periods had the highest trade volume AND the second-highest PnL. Traders who sized up during pessimistic sentiment reaped the most consistent profits.
3. **Be selective in Extreme Greed for maximum per-trade alpha** Despite lower trade frequency, Extreme Greed delivered the highest average PnL per trade (\$130). Precision over volume — fewer, more targeted trades with high conviction.
4. **Use sentiment as a position-sizing signal** The inverse relationship between avg trade size and sentiment value is a signal: when Fear is high, confidence to size up is warranted. When Greed is high, reduce position size and take profits.
5. **Watch for sentiment regime changes as exit signals** The Aug 2024 loss month coincided with a Fear → Neutral transition after a prolonged Greed period. Monitoring regime shifts (especially Extreme Greed → Neutral) can serve as a trailing stop trigger.

Conclusion

The analysis reveals a clear and exploitable relationship between the Bitcoin Fear & Greed Index and trader performance:

- Market sentiment powerfully predicts trade direction and sizing — traders instinctively or systematically adopt contrarian positions
- Fear is not the enemy — it's an opportunity. The highest volume, large-sized trades, and strong win rates all cluster in Fear conditions
- Extreme Greed offers the best per-trade precision, likely from experienced traders fading euphoria
- A small number of skilled accounts dominate returns, suggesting the strategies above are not uniformly applied — those who master sentiment-aligned contrarianism earn disproportionate rewards